

LoanServe — Co-Applicant and Guarantor Rules

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Scope and Application

These rules govern who may join a loan as a co-applicant and who may stand as a guarantor. They apply to every retail loan product, though the requirement to include co-owners arises only on secured products. A co-applicant is a borrower; a guarantor is not, and the two roles are never recorded interchangeably. Every co-applicant and guarantor is verified independently before sanction.

Who May Be a Co-Applicant

A spouse, parent, sibling or adult child may be added as a co-applicant. A maximum of three co-applicants is permitted on any single loan account. For home loans all co-owners of the property must be co-applicants on the loan.

Effect on Eligibility

The income of a co-applicant is aggregated with the primary applicant's income for eligibility assessment. A co-applicant carries joint and several liability for the entire outstanding amount.

Removal

A co-applicant may be removed only after twenty four instalments have been paid and subject to fresh eligibility assessment.

Guarantors

A guarantor is called on only after the borrower has been given notice and has failed to pay. A guarantee is for the whole outstanding and is not limited to a share unless the guarantee deed says so. A guarantor is told, at the time of signing, the amount guaranteed and the circumstances in which they may be called on. A guarantor may not withdraw during the tenure except with a substitute acceptable to LoanServe.

Obligations of a Co-Applicant

A co-applicant is bound by every term of the loan as fully as the primary applicant. Repayment conduct on the account is reported to the credit bureau against every co-applicant. A co-applicant is entitled to a statement of account and to the same notices as the primary applicant. A co-applicant whose income was counted at sanction cannot be removed merely because circumstances have changed.

Death or Incapacity

On the death of a co-applicant the surviving borrowers remain liable for the whole outstanding. Where credit life cover was taken on the deceased, the claim is applied to the outstanding under the Insurance Linkage Policy. A legal heir may be added as a co-applicant subject to fresh assessment. The account is not recalled solely because a co-applicant has died, provided the instalment continues to be paid.

Definitions

'Co-applicant' means a person who applies jointly and carries the loan on the same terms as the primary applicant. 'Joint and several liability' means each borrower may be called on for the entire outstanding rather than for a share of it.

Exceptions and Discretion

A friend or a business partner is not accepted as a co-applicant on a retail loan. The limit of three co-applicants is not exceeded in any circumstance. The requirement that all co-owners join a home loan is not waived. A relaxation of the removal conditions requires Credit Committee approval and is recorded

with its reason.

Records and Evidence

The relationship proof, the independent verification and the income documents of every co-applicant are retained for eight years from closure. The guarantee deed and the record of the explanation given to the guarantor are retained for the life of the loan. A co-applicant may obtain a copy of the loan agreement on request.

Related Policies

The Co-Applicant and Guarantor Rules should be read with: Eligibility Norms, Know Your Customer Requirements, Non-Resident Indian Lending Policy.

Regulatory and Compliance Notes

These rules follow the directions requiring that a guarantor be told the extent of the liability being undertaken before the guarantee is signed. Reporting to the credit bureau against a co-applicant reflects the account's actual conduct and is corrected within thirty days of any error being established. A guarantor is not approached for recovery before the borrower has been given the notice the loan agreement requires.

Review and Governance

Owned by the Credit Policy team and revisited whenever the underwriting model is retrained.